

SELF-MANAGED SUPERANNUATION FUND (SMSF) IN AUSTRALIA

A Self-Managed Superannuation Fund (SMSF) is a type of superannuation (retirement savings) fund in Australia that is established and run by individuals themselves, rather than being managed by an industry or retail super fund.



A clear breakdown:

- An SMSF is a private super fund that you manage yourself.
- It exists under the Superannuation Industry (Supervision) Act 1993 (SIS Act) and must be regulated by the Australian Taxation Office (ATO).
- Its main purpose is the “sole purpose test”: providing retirement benefits to members (or to their dependants in the event of death)

Structure

- Members: Up to 6 members allowed (all must be trustees or directors of the trustee company).
- Trustee types:
 - Individual trustees (each member is a trustee).
 - Corporate trustee (a company acts as trustee, members are directors).
- Trustees are personally responsible for compliance with superannuation and tax laws.



Control & Flexibility

- Members control investment strategy (e.g., shares, property, term deposits, managed funds, even limited borrowing for property under strict rules).
- Greater flexibility compared to retail/industry funds – but with higher responsibility.
- Ability to tailor retirement and estate planning strategies to members' circumstances



Compliance Requirements

- Annual audit by an approved SMSF auditor.
- Annual Return (SAR) lodged with the ATO (includes income tax, contributions, compliance).
- Must maintain a documented investment strategy, keep separate bank accounts, and meet pension minimums if paying retirement income.
- All investments must be on arm's length commercial terms.

DETAILED SELF-MANAGED SUPER FUND (SMSF) COMPLIANCE AND REPORTING REQUIREMENTS UNDER AUSTRALIAN REGULATIONS:

1. Regulatory Framework

- Governing law: Superannuation Industry (Supervision) Act 1993 (SIS Act), SIS Regulations, Income Tax Assessment Act, and Corporations Act (where applicable).
- Regulator: The Australian Taxation Office (ATO) is the primary regulator of SMSFs.
- Trustee obligations: Trustees must ensure the SMSF is maintained for the sole purpose of providing retirement benefits (the “sole purpose test”).



2. Core Compliance Obligations

- Trust Deed: Must be valid, up to date, and consistent with superannuation law.
- Investment Strategy:
 - Documented and regularly reviewed.
 - Must consider risk, diversification, liquidity, insurance for members, and ability to pay benefits.
- In-house asset rules: Limit of 5% of total assets invested in related parties.
- Borrowing restrictions: Generally prohibited except under Limited Recourse Borrowing Arrangements (LRBAs).
- Arm's length transactions: All dealings must be on commercial terms.
- Contribution caps: Monitor concessional and non-concessional contribution limits.
- Pension standards: If paying retirement income streams, minimum pension withdrawal rules apply.

3. Annual Reporting Requirements

- SMSF Annual Return (SAR): Combines income tax return, regulatory return, and member contribution reporting. Lodged with ATO annually.
- Financial Statements:
 - Balance sheet, income statement, and member statements.
 - Must be prepared in accordance with Australian Accounting Standards.
- Independent Audit:
 - Mandatory annual audit by an approved SMSF auditor.
 - Auditor must check both financial statements and compliance with SIS Act.
- Lodgement Deadlines:
 - First-year funds: usually 28 February of the following year.
 - Subsequent years: 15 May (if using a tax agent), otherwise 31 October.

4. Ongoing Reporting & Notifications

- Event-based reporting (TBAR):
 - For transfer balance account reporting (TBAR), e.g., commencement or commutation of pensions.
 - Quarterly reporting for most SMSFs.
- Regulatory notifications:
 - Trustee changes (Form NAT 3036).
 - Fund winding up.
- Record keeping:
 - At least 5 years for financial records.
 - At least 10 years for trustee meeting minutes, investment strategy, and trustee declarations.



5. Common Compliance Pitfalls

- Breaching in-house asset rules.
- Not meeting minimum pension drawdowns.
- Related-party loans and property acquisitions not on commercial terms.
- Late annual returns or audit reports.
- Mixing personal and SMSF assets (contravenes separation of assets rule).

SMSF COMPLIANCE & REPORTING CHECKLIST (WITH DUE DATES)

1. At Setup (One-time)

- Trustee Declaration (NAT 71089) → Within 21 days of becoming a trustee/director.
- Fund Registration with ATO → Within 60 days of establishment (via ABN application).
- Bank Account & TFN → Immediately after setup.

2. Ongoing Annual Obligations

Compliance Item	Due Date / Frequency	Notes
Prepare Financial Statements	Annually (after 30 June)	Must comply with Australian Accounting Standards.
Independent Audit	Must be completed before SMSF Annual Return (SAR) lodgement	Approved SMSF auditor required; request engagement at least 45 days before return due date.
SMSF Annual Return (SAR)	- 31 Oct: If lodging yourself and not a new fund. - 28 Feb: First-year SMSFs using tax agents. - 15 May: Later years if using tax agent.	Includes income tax return, regulatory return, and member contribution reporting.
Tax Payment (ATO assessment)	As per notice of assessment (usually May–June)	Pay on time to avoid GIC (general interest charge).
Investment Strategy Review	At least once per year	Must consider diversification, liquidity, risk, insurance needs.
Minimum Pension Payments	By 30 June each year	Ensure required drawdowns are met to keep pension income exempt

3. Quarterly / Event-Based Obligations

Compliance Item	Due Date / Frequency	Notes
Transfer Balance Account Reporting (TBAR)	- If any member has > \$1m balance → Report quarterly (28 days after quarter end) . - Otherwise → Report annually with SAR.	Events include starting/stopping pensions, commutations, reversionary pensions.
SuperStream Rollovers	At time of event	Must use SuperStream for rollovers in/out of SMSF.
Notify ATO of Changes	Within 28 days	Trustee/director changes, fund status changes, or winding-up.
Compliance Item	Due Date / Frequency	Notes
Transfer Balance Account Reporting (TBAR)	- If any member has > \$1m balance → Report quarterly (28 days after quarter end) . - Otherwise → Report annually with SAR.	Events include starting/stopping pensions, commutations, reversionary pensions.
SuperStream Rollovers	At time of event	Must use SuperStream for rollovers in/out of SMSF.

4. Record Keeping

- 5 years: Accounting records, operating statements, annual returns, audit reports.
- 10 years: Trustee minutes, investment strategy, trustee declarations, member reports.

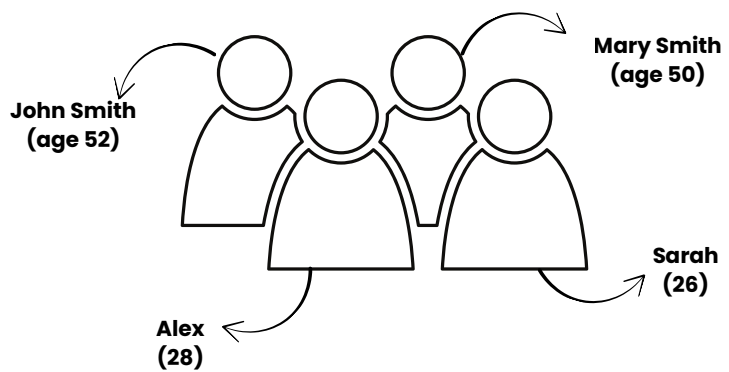
5. Common Trustee Deadlines (Summary Table)

Period	Due Date	Task
Quarterly	28 days after end of quarter	TBAR (if required)
Annual	Jun 30, 2025	Ensure minimum pensions paid
Annual	Pre-lodgement	Financials + Audit completed
Annual	31 Oct / 28 Feb / 15 May	Lodge SAR
Ad-hoc	28 days from change	Notify ATO of trustee/member/fund changes

ATO imposes administrative penalties (per trustee) for breaches, and missed deadlines may risk fund's complying status. Best practice is to maintain a compliance calendar and engage tax agents/auditors early.



EXAMPLE: SMITH FAMILY SUPER FUND



Trustee arrangement::

- The family sets up a corporate trustee called Smith Super Pty Ltd.
- Each member (John, Mary, Alex, Sarah) is a director of this company.
- This means all four are equally responsible for fund decisions and compliance.

Fund size: \$1.2 million total (combined rollovers from retail super funds).

Control:

- The trustees meet quarterly to review performance and adjust the investment strategy.
- They decide how much risk the fund will take, which assets to buy/sell, and when to pay pensions (John starts a pension stream at age 60).
- Every member has a say in decisions (must be unanimous, or as agreed under fund rules).

Flexibility with Investments

Unlike retail/industry funds (where investment options are pre-set), the Smith Family SMSF has wide flexibility:

- Direct Property:
 - Purchase a small commercial warehouse valued at \$600,000 using \$400,000 cash from the SMSF and a \$200,000 Limited Recourse Borrowing Arrangement (LRBA).
 - Lease it out to an unrelated business at commercial market rent.
- Shares & ETFs:
 - Invest \$300,000 into Australian blue-chip shares (e.g., BHP, Commonwealth Bank).
 - Allocate \$100,000 into a global equity ETF.
- Fixed Income:
 - \$100,000 in term deposits for liquidity.
- Cash:
 - \$100,000 in a high-interest SMSF bank account to cover ongoing expenses, pension payments, and compliance costs.

SMSF AUDITOR



- An SMSF auditor is a person approved by the Australian Securities and Investments Commission (ASIC) and included on the ASIC SMSF Auditor Register.
- They perform both a financial audit and a compliance audit of the SMSF each year.

Registration & Qualifications

To become an SMSF auditor:

- Must be approved by ASIC.
- Must hold prescribed tertiary accounting qualifications.
- Must have competence in auditing and superannuation law.
- Must pass the ASIC SMSF Auditor Competency Exam.
- Allocated a unique SMSF Auditor Number (SAN), which must be included in the SMSF Annual Return.